

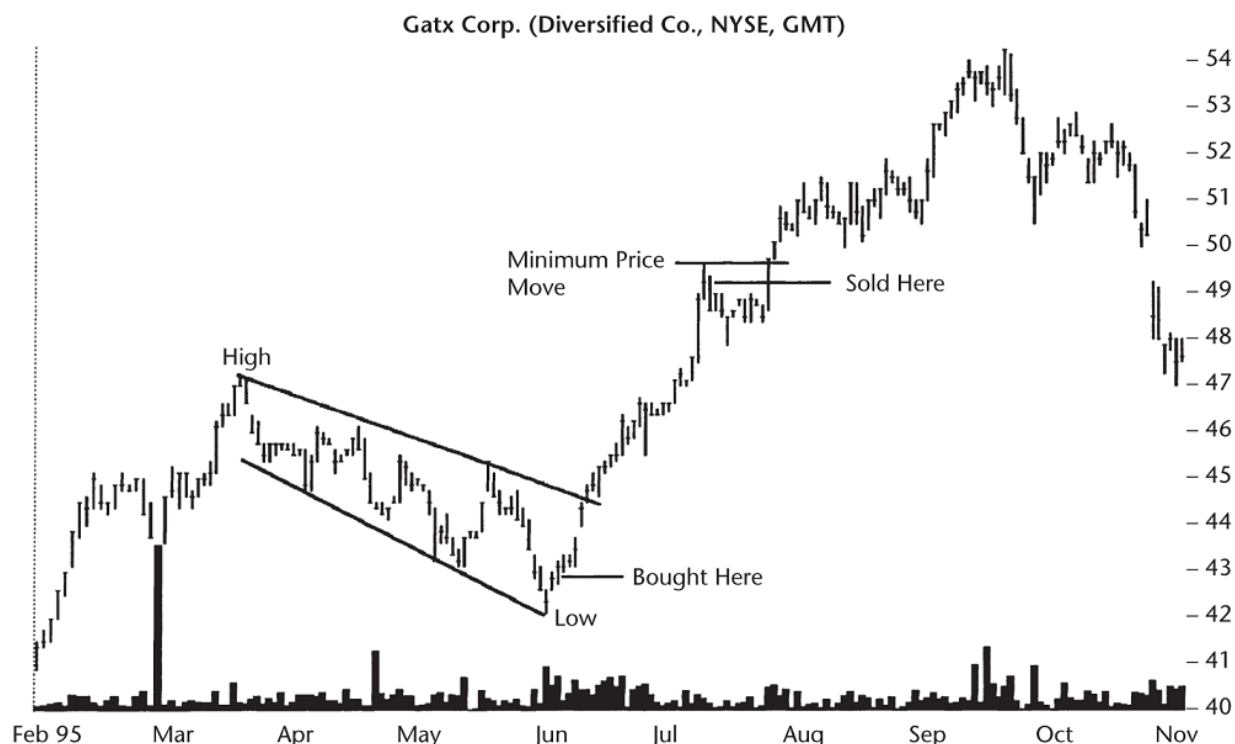


Figure 13.5 As described in the Sample Trade, Mary used the wedge's height projected upward as a price target.

In a burst of energy, the stock zooms up over a 2-day period and reaches her sell target. The stock sells at the high for the day, 49.63. She has cleared over \$6 a share on her trade. Even better, the stock moves lower for several days, reinforcing her sell decision as being the correct one.

She sold too soon, but she doesn't care. She spots another promising pattern in a stock she has been following for quite some time. She leans back in her chair, smiles and mumbles something about luck, then runs to the DVD player and plugs in another *Dirty Harry* movie.

I talked to her about the trade.

“On the entry, the stock could have continued lower,” she told me, “but happened to turn upward at the bottom trendline. It was a risky entry. Balancing that was a well-formed wedge.”

The wedge had several trendline touches and looked long enough to be ready to break out upward.

“I entered just as the stock made a straight-line run higher. It could have paused along the way and dropped far enough to hit my stop, especially